



ARIZONA HOUSE OF REPRESENTATIVES FLOOR AMENDMENT EXPLANATION

57th Legislature, 2nd Regular Session

Majority Research Staff

SB 1419: solar energy; inspection; contractors

GRIFFIN FLOOR AMENDMENT

1. Limits the definition of solar energy device to devices serving on-site demand at residential units, multifamily dwellings, commercial locations and industrial structures.
2. Modifies the process for obtaining required utility approval and specifies who is responsible for energizing and interconnecting the device.
3. Modifies the language required to be included in a written acknowledgement from the buyer or lessee related to roofing material replacement and repair.
4. Contains the language of the NREW Committee amendment.

GRIFFIN SUBSTITUTE FLOOR AMENDMENT
HOUSE OF REPRESENTATIVES AMENDMENTS TO S.B. 1419

I move the following SUBSTITUTE amendment to the NATURAL RESOURCES, ENERGY & WATER
Committee Amendment to
SENATE BILL 1419 (Reference to Senate engrossed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.
[Green underlining in brackets] indicates text added to new session law or text restoring existing law.
[GREEN STRIKEOUT IN BRACKETS] indicates new text removed from statute or previously enacted session law.
[Green strikeout in brackets] indicates text removed from existing statute, previously enacted session law or new session law.
<<Green carets>> indicate a section added to the bill.
<<Green strikeout in carets>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 44-1761, Arizona Revised Statutes, is amended to
3 read:

4 44-1761. Definitions

5 In this article, unless the context otherwise requires:

6 1. "Collector" means a component of a solar energy device that is
7 used to absorb solar radiation, convert it to heat or electricity and
8 transfer the heat to a heat transfer fluid or to storage.

9 2. "Distributed energy generation system":

10 (a) Means a device or system that is used to generate or store
11 electricity, that has an electric delivery capacity, singly or in
12 connection with other similar devices or systems, greater than one
13 kilowatt or one kilowatt-hour, and that is primarily for on-site energy
14 consumption.

15 (b) Does not include an electric generator that is intended for
16 occasional use.

17 3. "Energize" or "energized" means that the distributed energy
18 generation system is installed and operational for its intended purposes
19 of generating or storing electricity.

20 4. "Heat exchanger" means a component of a solar energy device that
21 is used to transfer heat from one fluid to another.

22 5. "Interconnected" or "interconnection" means a distributed energy
23 generation system that is connected to the power grid and that is able to
24 transfer electricity to the power grid.

25 6. "Seller or marketer" means an individual or a company acting
26 through its officers, employees or agents that markets, sells or solicits

1 the sale, financing or lease of distributed energy generation systems or
2 negotiates or enters into agreements for the sale, financing or lease of
3 distributed energy generation systems.

4 7. "Solar daylighting" means a device that is specifically designed
5 to capture and redirect the visible portion of the solar beam spectrum,
6 while controlling the infrared portion, for use in illuminating interior
7 building spaces in lieu of artificial lighting.

8 8. "Solar energy device":

9 (a) Means a system or series of mechanisms that is designed
10 primarily to provide heating, to provide cooling, to produce electrical
11 power, to produce mechanical power, to provide solar daylighting or to
12 provide any combination of the foregoing by means of collecting and
13 transferring solar generated energy into such uses either by active or
14 passive means [AND IS LIMITED TO A SYSTEM THAT IS USED PRIMARILY TO SERVE
15 ON-SITE DEMAND AT A RESIDENTIAL DWELLING UNIT OR MULTIFAMILY
16 STRUCTURE]. Such systems may also have the capability of storing such
17 energy for future utilization. Passive systems shall clearly be designed
18 as a solar energy device such as a trombe wall and not merely a part of a
19 normal structure such as a window. FOR THE PURPOSES OF THIS SUBDIVISION,
20 "TROMBE WALL" MEANS A MASSIVE EQUATOR-FACING WALL THAT IS PAINTED IN A
21 DARK COLOR TO ABSORB THERMAL ENERGY FROM INCIDENT SUNLIGHT.

22 (b) Includes a distributed energy generation system.

23 [(c) DOES NOT INCLUDE:

24 (i) A UTILITY SCALE SOLAR PROJECT.

25 (ii) A SYSTEM THAT IS INSTALLED ON A COMMERCIAL, INDUSTRIAL OR
26 INSTITUTIONAL STRUCTURE OR A SYSTEM THAT IS DESIGNED PRIMARILY TO SERVE AN
27 OFF-SITE LOAD.]

28 Sec. 2. Section 44-1762, Arizona Revised Statutes, is amended to
29 read:

30 44-1762. Solar energy device warranties: installation
31 standards; inspections

32 A. The collectors, heat exchangers and storage units of a solar
33 energy device that is sold or installed in this state or leased or
34 financed under an agreement pursuant to section 44-1763, and the
35 installation of the solar energy device, shall be warranted for a period
36 of at least two years or shall include an energy production output
37 guarantee provided pursuant to section 44-1763, subsection A, paragraph 4.
38 The remaining components of the solar energy device and their installation
39 shall be warranted for a period of at least one year.

40 B. Any person who manufactures, furnishes for installation or
41 installs a solar energy device shall provide with the SOLAR ENERGY device
42 a written statement of warranty, responsibilities assumed or disclaimed
43 and performance data of the solar energy device and components of the
44 solar energy device as prescribed by section 44-1763 as part of the
45 agreement for the [financing,] sale or lease of a solar energy
46 device. The form of the statement required by this subsection is subject
47 to approval by the registrar of contractors. The statement shall specify

1 the source of any performance data it contains. A copy of the statement
2 shall be delivered to the registrar of contractors where it shall be kept
3 on public file.

4 C. A person who sells a solar energy device in this state shall
5 furnish a certificate to the buyer that the solar energy device complies
6 with the requirements of this section.

7 D. A solar energy device that is sold or installed in this state
8 shall comply with all applicable state and federal consumer protection,
9 rating, certification, performance, marking, installation and safety
10 standards that are required by section 44-1763.

11 E. An individual who installs a solar energy device in this state,
12 in addition to being a licensed solar contractor under title 32, chapter
13 10, article 4, shall:

14 1. Possess the general license that is appropriate to the type of
15 solar energy device that is installed. Installers of a solar water heater
16 or a photovoltaic device shall possess an appropriate contractor's
17 license.

18 2. Meet any education and training standards that have been adopted
19 by the registrar of contractors.

20 3. Pass an examination on the installation of the type of SOLAR
21 ENERGY device to be installed, if the registrar of contractors has adopted
22 such an examination.

23 F. Solar energy devices that are designed or installed by the final
24 owner are exempt from the requirements of subsections A through E of this
25 section.

26 G. The installation of a solar energy device shall meet the
27 requirements of:

28 1. All applicable fire, safety[, WIND, LOAD, STRUCTURAL, SEISMIC]
29 and building codes AS PRESCRIBED BY A LOCAL AUTHORITY THAT HAS
30 JURISDICTION.

31 2. Consumer protection standards REQUIREMENTS, including any freeze
32 protection and temperature related damage standards.

33 3. A MANUFACTURER'S INSTALLATION REQUIREMENTS.

34 ~~3.~~ 4. All other applicable federal, state and local laws.

35 H. Contractors who fail to meet safety, installation or other
36 prescribed standards or the requirements of section 44-1763 are subject to
37 disciplinary action under title 32, chapter 10, article 3.

38 I. ~~[IF] A LICENSED CONTRACTOR [SHALL EVALUATE AND VERIFY THE~~
39 ~~STRUCTURAL INTEGRITY OF THE ROOF AND ROOFING COMPONENTS BEFORE INSTALLING~~
40 ~~A SOLAR ENERGY DEVICE. BY INSTALLING A SOLAR ENERGY DEVICE, THE LICENSED~~
41 ~~CONTRACTOR IS DEEMED TO HAVE ACCEPTED THE SURFACE OF THE ROOF FOR THE~~
42 ~~PURPOSES OF INSTALLATION AND IS RESPONSIBLE FOR REPAIRS TO THE ROOF THAT~~
43 ~~ARE CAUSED BY THE INSTALLATION.] [INSTALLS A SOLAR ENERGY DEVICE ON A~~
44 ~~ROOF, THE LICENSED CONTRACTOR, BEFORE THE INITIAL INSTALLATION, SHALL~~
45 ~~EVALUATE THE ROOF AND ROOFING COMPONENTS TO DETERMINE WHETHER THE ROOF IS~~
46 ~~CAPABLE OF SUPPORTING THE INSTALLATION AND SHALL RECOMMEND THAT THE~~
47 ~~CUSTOMER OBTAIN AN INSPECTION BY A LICENSED ROOFING CONTRACTOR. BY~~

1 INSTALLING A SOLAR ENERGY DEVICE ON A ROOF, THE CONTRACTOR IS DEEMED TO
2 HAVE ACCEPTED THE ROOF SURFACE FOR PURPOSES OF INITIAL INSTALLATION AND IS
3 RESPONSIBLE FOR REPAIRING ANY ROOF DAMAGE THAT IS CAUSED BY THE
4 INSTALLATION. THIS SUBSECTION DOES NOT APPLY TO STRUCTURES THAT ARE USED
5 PRIMARILY FOR SHADE, INCLUDING SHADE THAT IS USED FOR VEHICLES OR
6 LIVESTOCK.] A CONTRACTOR WHO DOES NOT COMPLY WITH THIS SUBSECTION IS
7 SUBJECT TO DISCIPLINARY ACTION UNDER TITLE 32, CHAPTER 10, ARTICLE 3.

8 Sec. 3. Section 44-1763, Arizona Revised Statutes, is amended to
9 read:

10 44-1763. Distributed energy generation system agreements;
11 disclosures; residential solar energy systems;
12 exception

13 A. An agreement governing the [financing,] sale or lease of a
14 distributed energy generation system to any person or a political
15 subdivision of this state must:

16 1. Be signed by the person buying~~[, financing]~~ or leasing the
17 distributed energy generation system and must be dated. Any agreement
18 that contains blank spaces affecting the timing, value or obligations of
19 the agreement in a material manner when signed by the buyer or lessee is
20 voidable at the option of the buyer or lessee until the distributed energy
21 generation system is installed. Any blank spaces in the agreement must be
22 shown to and initialed by the buyer or lessee at the time the buyer or
23 lessee signs the agreement.

24 2. Be in at least ten-point type.

25 3. Include a provision, which must be separately acknowledged by
26 the buyer or lessee, granting the buyer or lessee the right to rescind the
27 [financing,] sale or lease agreement for a period of not less than three
28 business days after the agreement is signed by the buyer or lessee and
29 before the distributed energy generation system is installed.

30 4. Provide a description, which must be separately acknowledged by
31 the buyer or lessee, including the make and model of the distributed
32 energy generation system's major components or a guarantee concerning
33 energy production output that the distributed energy generation system
34 being sold or leased will provide over the life of the agreement. [FOR A
35 LEASE,] if the warranty period for any major component is less than the
36 duration of the [LEASE] agreement, the length of the warranty must be
37 disclosed to and separately acknowledged by the [buyer or] lessee AND BE
38 WRITTEN IN BOLD TYPE AND SEPARATELY INITIALED BY THE [BUYER OR] LESSEE.
39 [THE WARRANTY PERIODS FOR A PURCHASED DISTRIBUTED ENERGY GENERATION
40 SYSTEM, MAJOR COMPONENTS AND LABOR SHALL BE DISCLOSED TO AND SEPARATELY
41 ACKNOWLEDGED BY THE BUYER AND BE WRITTEN IN BOLD TYPE AND SEPARATELY
42 INITIALED BY THE BUYER. FOR THE PURPOSES OF THIS PARAGRAPH, "MAJOR
43 COMPONENTS" INCLUDES:

- 44 (a) PHOTOVOLTAIC SOLAR PANELS.
45 (b) INVERTERS.
46 (c) RACKING.
47 (d) BATTERY ENERGY STORAGE SYSTEMS.]

1 5. Separately set forth the following items **IN BOLD TYPE**, which
2 must be separately acknowledged **AND INITIALED** by the buyer or lessee, if
3 applicable:

4 (a) The total purchase price or total cost to the buyer or lessee
5 under the agreement for the distributed energy generation system over the
6 life of the agreement.

7 (b) Any interest, installation fees, document preparation fees,
8 service fees or other costs to be paid by the buyer or lessee of the
9 distributed energy generation system.

10 (c) If the ~~[distributed energy generation system is being financed~~
11 ~~or leased, the total number of payments, the payment frequency, the amount~~
12 ~~of the payment expressed in dollars and the payment due date.]~~ **[CONTRACTOR**
13 **PROVIDES CREDIT TO PURCHASE A DISTRIBUTED ENERGY GENERATION SYSTEM, THE**
14 **CONTRACTOR SHALL DISCLOSE INFORMATION PERTAINING TO THE NUMBER, AMOUNT AND**
15 **TIMING OF PAYMENTS THAT ARE SCHEDULED TO REPAY THE CREDIT OBLIGATION.**
16 **COMPLIANCE WITH 12 CODE OF FEDERAL REGULATIONS PART 1026 IS CONSIDERED**
17 **COMPLIANCE WITH THIS SECTION.]**

18 6. Provide a disclosure in the sale ~~[and financing]~~ **[OR LEASE]**
19 agreements, to the extent they are used by the seller or marketer in
20 determining the purchase price of the agreement, that identifies all
21 current tax incentives and rebates or other state or federal incentives
22 for which the buyer or lessee may be eligible and any conditions or
23 requirements pursuant to the agreement to obtain these tax incentives,
24 rebates or other incentives.

25 7. Identify the tax obligations that the buyer or lessee may be
26 required to pay as a result of buying~~[, financing]~~ or leasing the
27 distributed energy generation system, including:

28 ~~[(a) The assessed value and the property tax assessments associated~~
29 ~~with the distributed energy generation system calculated in the year the~~
30 ~~agreement is signed.]~~

31 ~~[(b)]~~ **[(a)]** Transaction privilege taxes that may be assessed
32 against the person buying or leasing the distributed energy generation
33 system.

34 ~~[(c)]~~ **[(b)]** Any obligation of the buyer or lessee to transfer tax
35 credits or tax incentives of the distributed energy generation system to
36 any other person.

37 8. Disclose whether the warranty or maintenance obligations related
38 to the distributed energy generation system may be sold or transferred to
39 a third party.

40 9. Include a disclosure, the receipt of which shall be separately
41 acknowledged by the buyer or lessee, if a transfer of the sale~~[,]~~ **[OR]**
42 lease ~~[or financing]~~ agreement contains any restrictions pursuant to the
43 agreement on the lessee's or buyer's ability to modify or transfer
44 ownership of a distributed energy generation system, including whether any
45 modification or transfer is subject to review or approval by a third
46 party. If the modification or transfer of the distributed energy
47 generation system is subject to review or approval by a third party, the

1 agreement must identify the name, address and telephone number of, and
2 provide for updating any change in, the entity responsible for approving
3 the modification or transfer.

4 10. Include a disclosure, the receipt of which shall be separately
5 acknowledged by the buyer or lessee, if a modification or transfer of
6 ownership of the real property to which the distributed energy generation
7 system is or will be affixed contains any restrictions pursuant to the
8 agreement on the lessee's or buyer's ability to modify or transfer
9 ownership of the real property to which the distributed energy generation
10 system is installed or affixed, including whether any modification or
11 transfer is subject to review or approval by a third party. If the
12 modification or transfer of the real property to which the distributed
13 energy generation system is affixed or installed is subject to review or
14 approval by a third party, the agreement must identify the name, address
15 and telephone number of, and provide for updating any change in, the
16 entity responsible for approving the modification or transfer.

17 11. [AT THE TIME THE CONTRACT IS SIGNED,] provide a [full and
18 accurate] summary of the total [ESTIMATED] costs under the agreement for
19 maintaining and operating the distributed energy generation system over
20 the life of the distributed energy generation system~~[, including~~
21 ~~financing, maintenance and construction costs related to the distributed~~
22 ~~energy generation system,]~~ **THAT MUST BE ACKNOWLEDGED AND INITIALED BY THE**
23 **BUYER OR LESSEE.**

24 ~~[12. If the agreement contains an estimate of the buyer's or~~
25 ~~lessee's future utility charges based on projected utility rates, provide~~
26 ~~an estimate of the buyer's or lessee's future utility charges as impacted~~
27 ~~by potential utility rate changes ranging from at least a five percent~~
28 ~~annual decrease to at least a five percent annual increase from current~~
29 ~~utility costs applied to the duration of the agreement in one percent~~
30 ~~increments. Any comparative estimates must be calculated by applying the~~
31 ~~entire rate change range to the duration of the agreement. THE AGREEMENT~~
32 ~~MUST SUBSTANTIATE THE METHODOLOGY THAT WAS USED TO CALCULATE THE UTILITY~~
33 ~~CHARGES AND COMPARATIVE ESTIMATES.]~~

34 [12. PROVIDE A DISCLOSURE THAT NOTIFIES THE CONSUMER WHETHER AND TO
35 WHAT EXTENT SYSTEM MAINTENANCE AND REPAIRS ARE INCLUDED IN THE AGREEMENT
36 AND THE ESTIMATED SYSTEM MAINTENANCE COSTS THAT THE CONSUMER IS
37 RESPONSIBLE TO PAY AND THAT IS ACKNOWLEDGED AND INITIALED BY THE BUYER OR
38 LESSEE.]

39 13. Include a disclosure **THAT IS WRITTEN IN BOLD TYPE AND ALL**
40 **CAPITAL LETTERS**, the receipt of which shall be separately acknowledged by
41 the buyer or lessee, that states:

42 Utility rates and utility rate structures are subject to
43 change. These changes cannot be accurately predicted.
44 Projected savings from your distributed energy generation
45 system are therefore subject to change. Tax incentives are
46 subject to change or termination by executive, legislative or
47 regulatory action.

1 14. Comply with section 32-1158.

2 [15. INCLUDE A BRIEF DESCRIPTION OF THE BASIS FOR ANY SAVINGS
3 ESTIMATE THAT WAS PROVIDED TO THE PURCHASER AT THE TIME THE CONTRACT IS
4 SIGNED, AS APPLICABLE. THE BRIEF DESCRIPTION MUST INCLUDE, AT A MINIMUM,
5 ALL OF THE FOLLOWING:

6 (a) ANY APPLICABLE UTILITY RATES.

7 (b) ANY ASSUMPTION FOR AN INCREASE IN FUTURE ELECTRICITY RATES.

8 (c) ANY ESTIMATED SYSTEM PRODUCTION.

9 (d) THE STATUS OF UTILITY COMPENSATION FOR EXPORTED ENERGY THAT IS
10 GENERATED BY THE DISTRIBUTED ENERGY GENERATION SYSTEM.]

11 B. If a document or sales presentation relating to a distributed
12 energy generation system states or suggests that the distributed energy
13 generation system will result in financial savings for a buyer or lessee,
14 the document or sales presentation must substantiate the methodology used
15 to calculate those savings and, if the document or sales presentation is
16 intended for a specific potential buyer or lessee, reasonably quantify the
17 cumulative savings expected for the duration of the agreement.

18 C. ~~[f]~~ A document or sales presentation relating to a distributed
19 energy generation system ~~[contains financial savings comparative estimates~~
20 ~~or utility rate comparative estimates, the document or sales presentation~~
21 ~~must include historical utility rates for the immediately preceding period~~
22 ~~of time that is of the same duration as the proposed financing or lease~~
23 ~~period for the same class of utility customer in the same utility service~~
24 ~~territory as the prospective buyer or lessee. These historical rates must~~
25 ~~be included in any comparative estimates. THE AGREEMENT MUST SUBSTANTIATE~~
26 ~~THE METHODOLOGY THAT WAS USED TO CALCULATE FINANCIAL SAVINGS OR UTILITY~~
27 ~~RATE COMPARATIVE ESTIMATES.] [MUST DISCLOSE TO WHAT EXTENT SYSTEM~~
28 ~~MAINTENANCE AND REPAIRS ARE INCLUDED AND ESTIMATES FOR SYSTEM MAINTENANCE~~
29 ~~COSTS THAT THE CUSTOMER IS RESPONSIBLE TO PAY.]~~

30 D. Before the maintenance or warranty obligations of a distributed
31 energy generation system under an existing lease, financing or purchase
32 agreement is transferred, the person who is currently obligated to
33 maintain or warrant the distributed energy generation system must disclose
34 the name, address and telephone number of the person who will be assuming
35 the maintenance or warranty of the distributed energy generation system.

36 ~~[E. If a document or sales presentation relating to a distributed~~
37 ~~energy generation system contains an estimate of the buyer's or lessee's~~
38 ~~future utility charges based on projected utility rates, the document or~~
39 ~~sales presentation must contain an estimate of the buyer's or lessee's~~
40 ~~future utility charges as impacted by potential utility rate changes~~
41 ~~ranging from at least a five percent annual decrease to at least a five~~
42 ~~percent annual increase from current utility costs applied to the duration~~
43 ~~of an agreement for the financing, sale or lease of a distributed energy~~
44 ~~generation system in one percent increments. Any comparative estimates~~
45 ~~must be calculated by applying the entire rate change range to the~~
46 ~~duration of the agreement. THE AGREEMENT MUST SUBSTANTIATE THE~~

1 ~~METHODOLOGY THAT WAS USED TO ESTIMATE THE UTILITY CHARGES BASED ON UTILITY~~
2 ~~RATES.~~

3 ~~F.] [E.]~~ Recurring payments under a distributed energy generation
4 system lease may not begin until the distributed energy generation system
5 is ~~[APPROVED]~~ ~~[GRANTED PERMISSION TO OPERATE]~~ BY A LOCAL UTILITY ~~[;]~~ ~~[AND]~~
6 energized and interconnected ~~[BY THE LESSOR]~~.

7 ~~[G.] [F.]~~ BEFORE ENTERING INTO A CONTRACT FOR THE PURCHASE OR
8 LEASE OF A RESIDENTIAL SOLAR ENERGY SYSTEM, THE LICENSED CONTRACTOR SHALL
9 OBTAIN A WRITTEN ACKNOWLEDGMENT FROM THE BUYER OR LESSEE STATING THAT THE
10 BUYER OR LESSEE UNDERSTANDS THAT THE ROOFING MATERIALS OR THE STRUCTURE
11 MAY REQUIRE REPAIR OR REPLACEMENT BEFORE THE PURCHASE OR LEASE AGREEMENT
12 TERM EXPIRES. THE WRITTEN ACKNOWLEDGMENT SHALL INCLUDE A CLEAR AND
13 CONSPICUOUS DISCLOSURE THAT STATES BOTH OF THE FOLLOWING:

14 1. ~~UNLESS [IT IS DETERMINED BY THE REGISTRAR OF~~
15 ~~CONTRACTORS THAT THE ROOFING]~~ ~~[ROOF]~~ DAMAGE IS CAUSED AS THE
16 RESULT OF THE LICENSED CONTRACTOR'S INITIAL INSTALLATION OF
17 THE SOLAR ENERGY SYSTEM, ANY REPAIR OR REPLACEMENT OF ROOFING
18 MATERIALS THAT BECOMES NECESSARY ~~[DURING THE TERM OF THE~~
19 ~~PURCHASE OR LEASE AGREEMENT IS]~~ ~~[MAY BE]~~ THE RESPONSIBILITY OF
20 THE BUYER OR LESSEE FOR ALL COSTS ASSOCIATED WITH THE REMOVAL
21 AND REINSTALLATION OF THE SOLAR ENERGY SYSTEM AND THE ROOF AND
22 ROOFING MATERIALS IF THE REPAIR OR REPLACEMENT IS NOT THE
23 RESULT OF A VIOLATION OF A LOCAL, STATE OR FEDERAL LAW.

24 2. THE REMOVAL AND REINSTALLATION OF THE SOLAR ENERGY
25 SYSTEM MAY VOID OR OTHERWISE AFFECT ANY MANUFACTURER OR
26 INSTALLER WARRANTY AND MAY LIMIT OR ELIMINATE THE LIABILITY OF
27 THE ORIGINAL INSTALLATION CONTRACTOR.

28 ~~[G.] [H.]~~ This section does not apply to an individual or company,
29 acting through its officers, employees or agents, that markets, sells,
30 solicits, negotiates or enters into an agreement for the sale, financing
31 or lease of a distributed energy generation system as part of a
32 transaction involving the sale or transfer of the real property to which
33 the distributed energy generation system is or will be affixed.

34 Enroll and engross to conform

35 Amend title to conform

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